Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2024
Question: Emerging Risks
Include Modeled Scores : Yes

Emerging Risks

Question

Does the company report on long-term, emerging risks?

Rationale

It is important for investors to understand the long-term risks that companies face along with companies' awareness of the impacts of these risks on their business and any mitigating actions that they may be taking in response to such risks - beyond the ongoing operational risks reported by most companies. In disclosing these risks to investors, companies show their ability to plan effectively for long-term risks. Reporting on long-term risks, their impacts on their business, and the mitigating actions they are taking can improve investors' confidence in management's ability to plan effectively for long-term challenges and therefore may make the company a more attractive long-term investment.

Performance Summary	
Question Level Company Performance	0
Question Weight	15
Year-on-Year Change	0
Industry Average Score	5
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Emerging risks: The focus should lie on the most significant emerging risks that are expected to have a long-term impact on the company and that are explained in public disclosures. Risks that are considered to be acceptable here include any newly identified risks that are expected to have a long-term impact on the company's business, although in some cases they may have already begun impacting the company's business today. A risk, by definition, has not materialized. However, an emerging risk in addition to not having materialized, is unprecedented and has not been handled in the past. Therefore, there is a lack of knowledge/preparation when it comes to managing the potential risk.

Impact on the business: It is not expected that a precise financial impact of these risks on the business can already be calculated or estimated, but rather a convincing description of how these emerging risks could impact the business, and require the company to adapt its strategy and/or business model.

Risk categories: The risk categories available in the dropdown menu are aligned with the categories defined in the World Economic Forum – Global Risk Report. The categories are Economic, Environmental, Geopolitical, Societal, and Technological. While we acknowledge that the five categories above might not be exhaustive, the category "Other", should only be used for other external risk categories that are industry-specific. Categories such as operational risk, compliance risk, reputational risk, competition risk, or market risk are not acceptable.

Data Requirements

Because the disclosure of long-term emerging risks (beyond operational risks commonly reported by companies or required by regulators) is so important for long-term investors, the risks provided in this question should correspond to risks that are disclosed publicly (e.g., annual report, sustainability report, integrated report, company publications, corporate website, risk reports). Additional specifications related to the description of the risk, the business impact, and mitigating actions not available in the public domain will not be considered.

a) Emerging risks reported in this question have to be part of the broad, cross-functional and general risk assessment exercise of a company, therefore we would not accept risks identified as part of a specific risk assessment exercise (Human Rights risk assessment, OHS risk assessment, climate risk assessment, etc.).

b) The same risk cannot be reported for more than 3 years in a row. Similarly, if the company has been reporting the same risk in its public disclosure for more than 3 years, it is not considered emerging anymore.

c) An emerging risk needs to fulfill the six below requirements in order to be accepted:

- The risk is **new, emerging.**
- The potential impact of the risk may be unknown and is long-term, i.e., the risk is unlikely to have a significant immediate impact on the company, but potentially may have begun to have consequences for the company today.
- The potential impact of the risk is **significant**, i.e., it has the potential to affect a large part of the company's operations and may require the company to adapt its strategy and/or business model.
- The risk is an **external** risk, i.e., it arises from events outside the company that are beyond its influence or control. Sources of these risks include natural, geopolitical, or macroeconomic factors, but exclude operational, reputational, or market risks.
- The risk and its impact on the company are **specific**. For example, long-term risks like macroeconomic developments should be described in the context of the business environment that the company operates in (i.e., the specific regulations or laws that may be introduced) and the impact on the company should be specific (i.e., not simply the description of the overall impact on the industry).
- The risk and its impact are **publicly disclosed with the exception established for Non-Listed companies.**

As a result, climate change, for example, would not be an acceptable emerging risk since it is an issue that has been significantly impacting the business environment for a number of years and that companies would have prepared for.

The mitigating actions have to be reported together with the risk and its impact, as a response to the risk.

Disclosure Requirements

Listed and/or publicly owned companies are required to provide links to public reports or corporate websites.

Non-listed companies are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and Privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to report on their risk management in the public domain as their key stakeholder is the general public.

References

World Economic Forum – The Global Risks Report

Standards & Frameworks

CSRD - ESRS 2 GOV-2 26c, ESRS 2 MDR-A 68a, ESRS 2 MDR-A 68a AR 22

ESG Disclosure Standards (China) - G.2.2.2 Major risk identification and prevention

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company's most impactful long-term emerging risks & mitigating actions	Not measured
Name of Emerging Risk 1	Not measured
Name of Emerging Risk 2	Not measured
Category of Emerging Risk 1	Not measured
Category of Emerging Risk 2	Not measured
Description of Emerging Risk 1	Not measured
Description of Emerging Risk 2	Not measured
Impact of Emerging Risk 1	Not measured
Impact of Emerging Risk 2	Not measured
Mitigating actions of Emerging Risk 1	Not measured
Mitigating actions of Emerging Risk 2	Not measured

Questionnaire

Please indicate two important long-term (3-5 years+) emerging risks that your company identifies with the most significant impact on the business in the future, and indicate any mitigating actions that your company has taken in light of these risks. For each risk, please provide supporting evidence available in **your reporting** for the description of the risk, the business impact and any mitigating actions, and choose the category to which the risk belongs.

1. ○

	Emerging Risk 1	Emerging Risk 2
Supporting evidence	**Listed companies** are required to provide links to public reports or corporate websites. **Non-Listed companies** are required to provide internal documents and/or links to public reports or corporate websites.	**Listed companies** are required to provide links to public reports or corporate websites. **Non-Listed companies** are required to provide internal documents and/or links public reports or corporate websites.
Name of the emerging risk	Not measured	Not measured
Category	Please select	Please select
Description	1. ☐ We report on the description and specification of emerging risk 1 in the context of the company's business. Please provide the description in the text box below.	1. ☐ We report on the description and specification of emerging risk 2 in the context of the company's business. Please provide the description in the text box below.
Impact	1. ☐ We report on the potential impact of emerging risk 1 on the company's business. Please provide the impact description in the text box below.	1. ☐ We report on the potential impact of emerging risk 2 on the company's business. Please provide the impact description in the text box below.
Mitigating actions	1. ☐ We report on the mitigating actions of emerging risk 1. Please provide the description of the mitigating actions in the text box below.	1. ☐ We report on the mitigating actions of emerging risk 2. Please provide the description of the mitigating actions in the text box below.

2. ◉ We do not report on long-term, emerging risks according to the relevant disclosure requirements of this question.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○

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Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.